

Chapter I

Study of Financial Statements

Until you value yourself, you won't value your time. Until you value your time, you will not do anything with it.

Financial Statements: Meaning – Importance and Uses, Format of Financial Statements – Accounting Equations – Contingent Liabilities – Wasting Assets – Fictitious Assets – Marketable Securities – Types of Financial Statement Analysis – Horizontal Financial Statements v/s Vertical Financial Statements – Own Funds v/s Owed Funds – Parties interested in Financial Statements – Accounting concepts, Conventions and Principles – Solved Problems – Questions for Self-Practice.

Financial Statements: ✱

The term financial statements refers to the statements which the accountants prepare at the end of a period of time for a business enterprise. They are the:

- (1) Balance sheet.
- (2) Income Statement i.e. Profit and Loss Account.

Financial statements are the collection of financial results based on current facts and figures. For financial planning and control financial statements have great importance. The following are the most common forms of financial statements:

- (1) Income Statement (Manufacturing, Trading and Profit and Loss Account).
- (2) Balance Sheets.

Importance of Financial Statements:

- (1) **Requirements of lenders:** In case of borrowings from banks and financial institutions they insist the borrowers to furnish financial statements in order to assess their profitability.
- (2) **Guides future course of action:** Financial statements guide the management about the proper way to expand and prosper indicating in which area and to what extent expansion is possible.
- (3) **To understand the future:** Based on projected financial statements the management will be in a better way to understand the future.

- (4) **To exercise control:** The management can exercise better control if clear about the position of the organisation.
- (5) **Better awareness about the present position:** For preparing the financial statements a good knowledge about the present situations is a must. Thus in the process of preparation of financial statements management is made aware about the present situation.
- (6) **Arithmetical accuracy to the future plans:** In case of financial statements everything is put down on paper in terms of rupees. Thus it is very useful for control and corrective actions.
- (7) **Acts as a base for future actions:** Financial statements are the basis on which the management will act.

Uses of Financial Statements: ✕

- (1) It helps to reveal the changes in the various items in the Balance sheet from the past to the present.
- (2) Financial statements help to measure the profitability.
- (3) Financial statements provides a concise summary of the firms revenues and expenses during the date or series of dates.
- (4) The financial statements reports the effect of the plan of operations on the assets, liabilities and capital of the company.

A profit and loss account summarises the income earned and expenses incurred during a particular period. A balance sheet is a statement of balances of assets and liabilities as at a particular date.

Formats of Financial Statements:

(1) Conventional Format or Horizontal Format or "T" Form:

Here the Balance Sheet and Income Statement is presented in the "T" Form or the account form. In case of Balance Sheet the left hand side indicates the "liabilities" and the right hand side "assets" and in case of profit and loss account the left hand side indicates the "expenses" incurred and the right hand side indicates the "incomes" earned. The conventional form of financial statement is not suitable for financial analysis.

(2) Vertical Format:

The vertical format of financial statement is most suitable for financial analysis especially in case of ratio analysis, comparative analysis, common size analysis and trend analysis. It serves the purpose of other users such as potential investors or lenders, also.

BALANCE SHEET

LIABILITIES	ASSETS
Owned Funds	Fixed Assets
Borrowed Funds	Long Term Investments
	Working Capital = Current Assets minus Current Liabilities

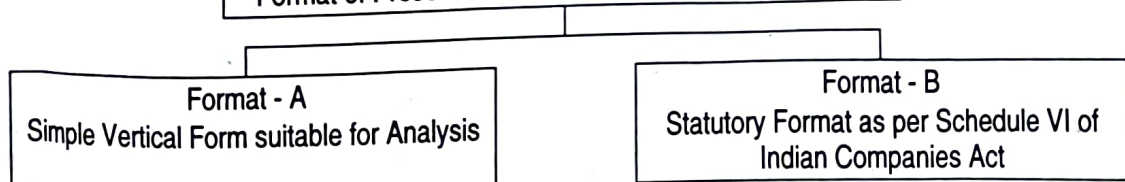
A Balance-sheet is divided into 5 windows. The liabilities side consists of:

- (1) **Owned Funds:** Owned funds belongs to the proprietors. It mainly consists of Share Capital + Reserves – Fictitious Assets. It indicates the owners stake in the business.
- (2) **Borrowed Funds:** Borrowed funds consists of long term borrowings both secured as well as unsecured from outside sources. The repayment period of such funds are beyond one year from the date of the Balance sheet. It consists of Debentures, Term Loans from Banks and Financial Institutions, Fixed Deposits, etc.

The Assets side consists of:

- (1) **Fixed Assets:** Fixed assets are also termed as long-term assets and they act as a major sources of revenue to the business. It consists of Land and Buildings, Plant and Machinery, Furniture and Fixtures, Vehicles, and also includes intangible assets such as goodwill, patent, copyrights, etc.
- (2) **Investments:** Long term investments are investments whose maturity period is beyond one year from the date of the Balance-sheet. In case of the long term investments the intention of the investor is to retain such securities for a longer period of time. Such investments may even be trade investment. Trade investments means an investment by a company in shares and/or debentures of another company for the purpose of promoting the business or trade interests of the investing company. Long term investments may even be in government securities.
- (3) **Working Capital:** Working capital is the excess of current assets over current liabilities i.e. current assets less current liabilities. Investment in working capital gets converted into cash within a period less than a year. Current assets can be further split-up into quick assets and non-quick assets likewise current liabilities can be split-up into quick liabilities and non-quick liabilities.

Format of Presentation of Vertical Financial Statements





**FORMAT - A: SIMPLE VERTICAL FORM SUITABLE FOR ANALYSIS
PROFORMA OF VERTICAL BALANCE SHEET (DETAILED ITEMS)**

(I) SOURCES OF FUNDS:

(1) Owner's Funds:

(a) Capital:

- (i) Equity Share Capital
- (ii) Preference Share Capital
- Amount Subscribed/Called Up
- Less:** Unpaid Calls
- Add:** Forfeited Shares

(a)

(b) Reserves and Surplus:

- (i) Capital Reserve
- (ii) Capital Redemption Reserve
- (iii) Securities Premium
- (iv) General Reserve
- (v) Profit and Loss A/c Cr. Balance
- (vi) Sinking Funds/Other Funds
- Less:** Earmarked Investments

(b)

(c) Losses and Fictitious Assets:

- (i) Profit and Loss A/c Dr. Balance
- (ii) Miscellaneous Expenditure Not Written Off:
- (1) Preliminary Expenses
- (2) Share Issue Expenses
- (3) Discount on Issue of Shares or Debentures
- (4) Deferred Revenue Expenditure

(c)

(d) Net Reserves and Surplus (b – c)

Own Funds or Net Worth

(1)

(Capital + Reserves and Surplus) – (Losses and Fictitious Assets)

(2) Loan Funds:

(a) Long Term Loans:

- (i) Debentures or Bonds
- (ii) Loans from Banks
- (iii) Loans from Financial Institutions
- (iv) Public Deposits

(a)

(b) Other Loans:

(b)

Owed Funds

(2)

(Long Term Loans + Other Loans)

Total Funds Available

Capital Employed

(Own Funds + Owed Funds)

(1 + 2)

(II) APPLICATION OF FUNDS:

(1) Net Fixed Assets:

(a) Intangible:

- (i) Goodwill
- (ii) Patents, Trademarks and Designs and Copy Rights

(a)

(b) Tangible:

- (i) Land and Building
- (ii) Leaseholds
- (iii) Plant and Machinery
- (iv) Furniture and Fittings
- (v) Vehicles

(A) Cost

(B) **Less:** Depreciation

(b)

(C) Net Tangible Assets

Total Fixed Assets (a + b)

(1)

(Net Tangible Assets + Intangible Assets)

(2) Long Term Investments:

- (i) Investments in Government Securities, Shares, Debentures etc.

Less: Sinking Fund/Other Funds

(ii) Investments in Immovable Properties

(iii) Investments in Capital of Partnership Firms

(2)

(3) Working Capital:

Quick Assets:

(a) Cash and Bank

(b) Debtors (Net)

(c) Bills Receivable

(d) Loans and Advances

(e) Accrued Income

(f) Loose Tools

(g) Short-term or Marketable Investments

Total Quick or Liquid Assets (a to g)

Add: (h) Inventories / Stock

(i) Pre-payments

(Pre-paid Expenses, Advance Tax, Advance Payments)

(A) Current Assets:

(a to i)

Less: Quick Liabilities

(a) Creditors

(b) Bills Payable

(c) Advance Received

(d) Outstanding Expenses

(e) Accrued Interest

(f) Provisions for Tax

(g) Unclaimed Dividend

(h) Proposed Dividend

Total Quick Liabilities

Add: (a to h)

(i) Bank Overdraft

(j) Income Received in Advance

(B) Current Liabilities:

(a to j)

Net Current Assets or Working Capital (A – B)

(3)

Total Assets or Total Funds Employed

(Total Fixed Assets + Long Term Investments + Working Capital) (1 + 2 + 3)

PROFORMA OF VERTICAL INCOME STATEMENT

Particulars	Rs.	Rs.	Rs.
(1) Gross Sales			xxx
(2) Less: Returns and Allowances			xxx
(3) Net Sales (1 – 2)		xxx	
(4) Less: Cost of Goods Sold			
(a) Opening Stock		xxx	
Add: (b) Purchases (Net) (Gross Less Returns)		xxx	
(c) Direct Expenses		xxx	
(d) Direct Wages		xxx	
(e) Depreciation on Machinery		xxx	
(f) Depreciation on Factory Building		xxx	
Less: (g) Closing Stock		xxx	xxx
Less: Sale of Scrap			xxx
Cost of Goods Sold			xxx
(d + b + c + d + e + f – g)			xxx
(5) Gross Profit (3 – 4)			
Add: Operating Income:		xxx	
Discount on Purchases		xxx	xxx
Discount Received		xxx	xxx
Recovery of Bad Debts			xxx

Less: Operating Expenses:			
(i) Administrative Expenses:			
Salary	xxx		
Insurance	xxx		
Printing and Stationery	xxx		
Office Expenses	xxx		
Legal Expenses	xxx		
Audit Fees	xxx		
Depreciation	xxx	xxx	
(ii) Selling and Distribution Expenses:			
Commission	xxx		
Advertisements	xxx		
Salesman's Salary/Commission	xxx		
Distribution Expenses	xxx	xxx	
(iii) Finance Expenses:			
Interest on Debentures (Repayable within 1 year)	xxx		
Interest on Short-term Loans	xxx		
Interest on Bank Overdraft	xxx		
Bad Debts/R.D.D.	xxx	xxx	
(i) + (ii) + (iii)			xxx
Earnings Before Interest and Tax (EBIT)			xxx
Less: Interest on Long-term Borrowings			xxx
OPERATING NET PROFIT			xxx
Add: Non-operating Income:			
Profit on Sale of Assets/Investments		xxx	
Interest on Investments		xxx	xxx
Less: Non-operating Expenses:			xxx
Loss on Sale of Assets/Investments			xxx
NET PROFIT BEFORE TAX			xxx
Less: Provision for Tax			(xxx)
NET PROFIT AFTER TAX			xxx

STATEMENT OF RETAINED EARNINGS

Particulars	Rs.	Rs.
Opening Balance of Profit and Loss A/c	xxx	
(+) Net Profit After Tax	xxx	xxx
Less: Appropriations		
Transfer to Reserve	xxx	
Proposed Dividend	xxx	xxx
RETAINED EARNINGS		xxx

VERTICAL MULTI-STEP FORMAT OF MANUFACTURING, TRADING AND P & L ACCOUNT
VERTICAL INCOME STATEMENT FOR THE YEAR ENDED

Particulars	Rs.	Rs.	Rs.
(1) GROSS SALES			
Cash Sales		xxx	
Credit Sales		xxx	
Less: Returns and Allowances		xxx	
(2) NET SALES		xxx	
(3) LESS: COST OF SALES/COST OF GOODS SOLD: (A + B + C)			xxx
(A) Opening Stock:			
Raw Materials	xxx		
Work-in-Progress	xxx		
Finished Products/Goods	xxx		
(B)+ Purchase of Raw Materials	xxx	xxx	

Less: Purchase Returns		xxx	xxx
(C)+ Direct and Manufacturing Expenses:			
Freight/Carriage Inwards	Direct Expenses	xxx	xxx
Octroi Duty		xxx	
Commission on Purchase		xxx	
Import/Custom Duty		xxx	
Wages and Bonus to Workers		xxx	
Factory Overheads	Manufacturing Expenses	xxx	xxx
(Like Factory Rent, Rates and Taxes,		xxx	
Power Fuel, Royalty on Production,			
Excise Duty, Water, Gas, Heating, Depreciation on Plant,			
Factory Building, Patents, Loose Tools etc.)			
Less:			
(D) Closing Stock:			
Raw Materials		xxx	xxx
Work in Progress		xxx	
Finished Products		xxx	
(E) Sale of Scrap/Wastage			xxx
(F) Adjustment in Respect of Goods:			xxx
(1) Goods Distributed as Free Samples		xxx	xxx
(2) Goods Lost by Theft		xxx	
(3) Goods Damaged by Fire		xxx	
(4) Goods Damaged by White-ants Etc.		xxx	
(4) GROSS PROFIT (2 – 3) (NET SALES – COST OF GOODS SOLD)			xxx
Add: Operating Income			xxx
Discount Received			xxx
Recovery of Bad Debts			xxx
(5) LESS: OPERATING EXPENSES			
(a) Administration Expenses:			
Salaries to Office Staff, Electricity, Audit Fees, Directors Fees ...		xxx	xxx
Office Rent and Insurance, Office Repairs, Postage and Telephone		xxx	
Depreciation on Office Building, Printing and Stationery, Legal Fees		xxx	
Depreciation on Office Equipment, Petty Expenses, Conveyance		xxx	
(b) Selling and Distribution Expenses:			
Advertisements, Publicity, Exhibition Expenses		xxx	xxx
Sales Commission		xxx	
Salesman's Salaries		xxx	
Warehouse Expenses		xxx	
Showroom Expenses		xxx	
Travelling Expenses		xxx	
Depreciation on Delivery Van		xxx	
(c) Finance Charges/Expenses and Losses:			
Interest on Debentures (Repayable within 1 year)		xxx	xxx
Interest on Short-term Bank Loan		xxx	
Interest on Short-term Loan		xxx	

Interest on Bank Overdraft	xxx		
Interest on Cash Credit	xxx		
Discount on Bills of Exchange	xxx		
Rebate on Bills of Exchange	xxx		
Discount Allowed to Customers	xxx		
Interest Charged by Suppliers	xxx		
Bank Charges	xxx		
Bad Debts and R.D.D.	xxx		
		xxx	
Earnings Before Interest and Tax (EBIT)			xxx
(GROSS PROFIT – OPERATING EXPENSES)			xxx
Less: Interest on Long-term Borrowings			xxx
(6) OPERATING NET PROFIT (4 – 5)			xxx
(7) NON-OPERATING ITEMS:			
(a) Add: Non-Operating Incomes and Gains:			
Interest on Investments	xxx		
Dividend on Investments	xxx		
Rent Received	xxx		
Commission Received	xxx		
Royalty Received	xxx		
Interest Charged to Debtors	xxx		
Share Transfer Fees Received	xxx		
Profit on Sale of Fixed Assets	xxx		
Profit on Sale of Investments	xxx		
		xxx	
(b) Less: Non-operating Expenses and Losses:			
Loss by Fire, Theft, Accident etc.	xxx		
Loss on Sale of Fixed Assets	xxx		
Loss on Sale of Investments	xxx		
Cost of Shares Transfer	xxx		
Compensation and Damages Paid	xxx		
Penalty and Fine for Breach of Contract	xxx		
Preliminary Expenses Written Off	xxx		
Issue Expenses Written Off	xxx		
Underwriting Commission Written Off	xxx		
Goodwill Written Off	xxx		
		xxx	
(8) NET PROFIT (BEFORE TAX) (6 + 7(a) – 7(b))			xxx
(9) LESS: PROVISION FOR INCOME TAX			xxx
(10) NET PROFIT (AFTER TAX) (8 – 9)			xxx
(11) (a) Add: Retained Earning of Last Year			xxx
(b) Add: Excess Provision for Taxation of Previous Year			xxx
			xxx
(12) LESS: APPROPRIATIONS:			
Transfer to Reserves		xxx	
Interim Dividend		xxx	
Proposed Dividend		xxx	
Short Provision for Taxation of Previous Year		xxx	
			xxx
(13) RETAINED EARNINGS OF CURRENT YEAR C/FWD			xxx

ALTERNATIVE METHOD OF VERTICAL INCOME STATEMENT

Particulars	Rs.	Rs.
Net Sales	xx	
Less: Cost of Goods Sold	xx	
Gross Profit		xx

Add: Operating Income		XX
		XXXX
Less: Operating Expenses	XX	
(i) Administration Expenses	XX	
(ii) Selling and Distribution Expenses	XX	XX
(iii) Finance Expenses (Excluding Interest on Long Term Borrowings)		XXXX
Earnings Before Depreciation, Interest and Tax (EBDIT)		XX
Less: Depreciation		XXXX
Earnings Before Interest and Tax (EBIT)		XX
Less: Interest on Long Term Borrowings		XXXX
Net Operating Profit/Operating Net Profit		XX
Add: Non-operating Income		XXXX
		XX
Less: Non-operating Expenses		XXXX
Net Profit Before Tax (NPBT)		XX
Less: Provision for Income Tax		XXXX
Net Profit After Tax (NPAT)		

Format - B: Statutory Format as per Schedule VI of Indian Companies Act

PART I — FORM OF BALANCE SHEET

Name of the Company.....

Balance Sheet as at.....

(Rupees in.....)

	Particulars	Note No.	Figures as at the end of the current reporting period	Figures as at the end of the previous reporting period
	1	2	3	4
I.	EQUITY AND LIABILITIES			
(1)	Shareholders' Funds:			
	(a) Share Capital		xxx	xxx
	(b) Reserves and Surplus		xxx	xxx
	(c) Money received against Share Warrants		xxx	xxx
	Share Application Money Pending Allotment		Xxx	Xxx
(3)	Non-current Liabilities:			
	(a) Long-term Borrowings		xxx	xxx
	(b) Deferred Tax Liabilities (Net)		xxx	xxx
	(c) Other Long Term Liabilities		xxx	xxx
	(d) Long-term Provisions			
(4)	Current Liabilities:			
	(a) Short Term Borrowings		xxx	xxx
	(b) Trade Payables		xxx	xxx
	(c) Other Current Liabilities		xxx	xxx
	(d) Short-term Provisions		xxx	xxx
	TOTAL		XXX	XXX
II.	ASSETS			
(1)	Non-current Assets:			
	(a) Fixed Assets:			
	(i) Tangible Assets		xxx	xxx
	(ii) Intangible Assets		xxx	xxx
	(iii) Capital Work-in-progress		xxx	xxx
	(iv) Intangible Assets under Development		xxx	xxx
	(b) Non-current Investments		xxx	xxx
	(c) Deferred tax Assets (net)		xxx	xxx
	(d) Long-term Loan and Advances		xxx	xxx
	(e) Other Non-current Assets			

(2)	Current Assets:			
	(a) Current Investments		xxx	xxx
	(b) Inventories		xxx	xxx
	(c) Trade Receivables		xxx	xxx
	(d) Cash and Cash Equivalents		xxx	xxx
	(e) Short-term Loans and Advances		xxx	xxx
	(f) Other Current Assets		xxx	xxx
	TOTAL		xxx	xxx

PART II – FORM OF STATEMENT OF PROFIT AND LOSS

Name of the Company.....

Profit and Loss Statement for the year ended

(Rupees in.....)

	Particulars	Note No.	Figures as at the end of the current reporting period		Figures as at the end of the previous reporting period	
I.	Revenue from operations			xxx		xxx
II.	Other Income			xxx		xxx
III.	Total Revenue (I+II)			xxx		xxx
IV.	Expenses:					
	Cost of materials consumed			xxx		xxx
	Purchases of Stock-in-Trade			xxx		xxx
	Changes in Inventories of finished goods work-in-progress and stock-in-trade			xxx		xxx
	Employee benefits expense					
	Finance costs			xxx		xxx
	Depreciation and amortization expense			xxx		xxx
	Other expense			xxx		xxx
	Total Expenses			xxx		xxx
V.	Profit before exceptional and extraordinary items and tax (III-IV)			xxx		xxx
VI.	Exceptional Items			xxx		xxx
VII.	Profit before extraordinary items and tax (V-VI)			xxx		xxx
VIII.	Extraordinary items			xxx		xxx
IX.	Profit before tax (VII-VIII)			xxx		xxx
X.	Tax Expense:					
	(1) Current Tax		xxx		xxx	
	(2) Deferred Tax		xxx		xxx	
XI.	Profit/(Loss) for the period from continuing operations			xxx		xxx
XII.	Profit/(Loss) from discontinuing operations			xxx		xxx
XIII.	Tax expense of discontinuing operations			xxx		xxx
XIV.	Profit/(Loss) from Discontinuing operations (after tax)			xxx		xxx
XV.	Profit/(Loss) for the period			xxx		xxx
XVI.	Earnings per Equity Share:					
	(1) Basic		xxx		xxx	
	(2) Diluted		xxx		xxx	

Statutory Provision

The Ministry of Corporate Affairs has notified the revised Schedule VI on 28 February, 2011 vide Notification No. S.O. 447(E) (as amended

by Notification No. SO 653(E) dated 30 March 2011). The revised Schedule VI will replace the existing Schedule VI in respect of Balance Sheet and Profit and Loss Account to be prepared for the financial year commencing on or after 01-04-2011.

The Schedule VI has been revised by Ministry of Corporate Affairs (MCA), Government of India and is applicable for all Balance Sheet made after 31st March, 2011. The Format has done away with earlier two options of format of Balance Sheet, now only Vertical format has been permitted.

Need for Revised Schedule VI

The existing Schedule VI to the Companies Act, 1956 (herein after called as old Schedule VI) has been in place for almost five decades without any major change and has not been able to keep pace with the changes taking place in the international arena. The revised Schedule VI is an attempt to bridge that gap.

Note - Cash Flow Statement

The revised Schedule VI prescribes the format for information to be presented on the face of Balance Sheet and Statement of Profit and Loss. There is no format prescribed for cash flow statement.

WISE LIMITED BALANCE SHEET AS AT 31ST MARCH, 2012

Particulars	Note No	Figures as at the end of current reporting period	Figures as at the end of previous reporting period
		Rs.	Rs.
(I) EQUITY AND LIABILITIES			
(1) Shareholder's Funds			
(a) Share Capital	1	-	-
(b) Reserves and Surplus	2	-	-
(c) Money received against share warrants			
(2) Share application money pending allotment			
(3) Non-Current Liabilities	3	-	-
(a) Long-term borrowings			
(b) Deferred tax liabilities (Net)			
(c) Other Long term liabilities			
(d) Long term provisions			
(4) Current Liabilities		-	-
(a) Short-term borrowings		-	-
(b) Trade payables	4	-	-
(c) Other current liabilities	5	-	-
(d) Short-term provisions	6	-	-
Total		-	-
(II) Assets			
(1) Non-current assets			
(a) Fixed assets			
(i) Tangible assets	7	-	-

(ii) Intangible assets		-	-
(iii) Capital work-in-progress		-	-
(iv) Intangible assets under development		-	-
(b) Non-current investments		-	-
(c) Deferred tax assets (net)		-	-
(d) Long term loans and advances	8	-	-
(e) Other non-current assets	9	-	-
(2) Current assets			
(a) Current investments			
(b) Inventories			
(c) Trade receivables	10	-	-
(d) Cash and cash equivalents	11	-	-
(e) Short-term loans and advances	12	-	-
(f) Other current assets			
Total		-	-

Significant Accounting policies

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Notes on accounts forming part of accounts

1 TO 19

Subject to our Report of even date

CHARTERED ACCOUNTANT

Place: Mumbai

Date:

WISE LIMITED
PROFIT AND LOSS STATEMENT FOR THE YEAR
ENDED 31ST MARCH, 2012

Particulars	Note No	Figures as at the end of current reporting period	Figures as at the end of previous reporting period
		Rs.	Rs.
(I) Revenue from operations			
(II) Other Income - Interest			
(III) Total Revenue (I + II)		-	-
(IV) Expenses:			
Cost of materials consumed		-	-
Purchase of Stock-in-Trade		-	-
Changes in inventories of finished goods, work-in-progress and Stock-in-Trade		-	-
Employee benefit expense	13	-	-
Financial costs	14	-	-
Depreciation and amortization expense	7	-	-
Other expenses	15	-	-
Total Expenses		-	-

(V)	Profit before exceptional and extraordinary items and tax	(III - IV)	-	-
(VI)	Exceptional Items		-	-
(VII)	Profit before extraordinary items and tax (V - VI)		-	-
(VIII)	Extraordinary Items	16	-	-
(IX)	Profit before tax (VII - VIII)		-	-
(X)	Tax expense: (1) Current tax (2) Deferred tax			
(XI)	Profit(Loss) from the period from continuing operations (IX-X)		-	-
(XII)	Profit/(Loss) from discontinuing operations			
(XIII)	Tax expense of discounting operations			
(XIV)	Profit/(Loss) from Discontinuing operations (XII - XIII)		-	-
(XV)	Profit/(Loss) for the period (XI + XIV)		-	-
(XVI)	XVI. Earning per equity share of Rs. 10 each: (1) Basic (2) Diluted			

Significant Accounting policies

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Notes on accounts forming part of accounts

1 TO 19

Subject to our Report of even date

CHARTERED ACCOUNTANT

Place: Mumbai

Date:

WISE LIMITED

NOTES ON ACCOUNTS FORMING PART OF ACCOUNTS

		As at 31/3/2012		As at 31/3/2011	
(1)	Share Capital : Equity		₹		₹
(i)	Authorized Capital 50,000 equity shares, Par value of ₹ 10 per share (31/03/2011 : 50,000 equity shares, Par value of ₹ 10 per share) without any restrictions on Voting Rights				
(ii)	Shares issued, subscribed and fully paid. 10,100 equity shares, Par value of ` 10 per share (31/3/2011:10,100 equity shares, Par value of ` 10 per share) without any restrictions on Voting Rights				
	Of the above, more than 5 % of Equity Shares held by -				

		₹	₹	₹	₹
(2)	Reserves and Surplus				
	(i) General Reserve				
	Opening Balance		-		
	Additions: Transfer from Current years Surplus		-		
	Balance c/fd		-		
	(ii) Surplus				
	Opening Balance		-		
	Additions:				
	Surplus for the Year		-		
	Excess Provision of Income Tax				
	Less Appropriations:				
	Proposed Dividend with Dividend Distribution Tax		-		
	Short Provision of Income Tax				
	Transfer to General Reserve		-		
	Total Reserves & Surplus [Total of (i) + (ii)]		-		
(3)	Long-term borrowings				
	(i) Secured Loans				
	(a) From Banks				
	(b) Term Loans from Other Parties				
	[Secured by Hypotheciation of Car]				
	Kotak Mahindra Prime Ltd				
	BMW Financial Services India		-		
	(ii) Loans from Related Parties				
	Total Long Term Borrowings [Total of (i) + (ii)]		-		
(4)	Trade Payables				
	Auditor's Remuneration				
	TDS Payable				
	Profession Tax Payable				
	Employees Fees				
	Other Expenses Outstanding		-		
(5)	Other Current Liabilities				
	(i) Income received in advance				
	(ii) Service Tax Payable (received but unpaid)				
	(iii) Service Tax Receivable A/c (yet not received but unpaid)		-		
(6)	Short - term Provisions				
	(i) Proposed Dividend				
	(ii) Provision for Taxes				
	- Income Tax for A. Y. 12-13				
	- Dividend Distribution Tax				
	Total (i) + (ii)		-		
(8)	Long term loans and advances				
	(a) Capital Advances (Unsecured, considered good;)		-		
	(b) Security Deposits (Unsecured, considered good;)				
	Vichare Courier				
	Electric Deposits		-		

	(c) Other Loans & Advances (Unsecured considered good)			
	Staff Loans			
		-		-
(9)	Other Non-Current Assets			
	Unamortised preliminary expenses			
(10)	Trade Receivables			
(i)	Trade receivables outstanding for a period exceeding six months from the date they were due for payment			
	- Unsecured, considered good			
(ii)	Other Trade receivables			
	- Unsecured, considered good	-		-
(11)	Cash and cash equivalents			
	(a) Cash on hand			
	(b) Balances with banks			
	In current accounts			
	- Bank of Baroda	-		-
		-		-
(12)	Short-term loans and advances			
	(a) Loans and advances to related parties			
	Unsecured, considered good			
	- Director			
	- Director			
	(b) Loans and advances to employees			
	Unsecured, considered good			
	(c) Others:			
	American Express Credit Card	-		
	Clients Expense Account			
	(d) Prepaid expenses - Unsecured, considered good			
	- Prepaid Insurance			
	- Prepaid Maintenance Charges			
	- Prepaid AMC Charges	-		-
	- Loan Processing Charges (HDFC)			
	(d) Balances with government authorities			
	Unsecured, considered good	-	-	-
	- Refund for A.Y. 2010-11			
		-		-
(13)	Employee benefits expense			
	- Salaries			
	- Bonus			
	- Leave Encashment			
	- Directors Remuneration			
	- Staff welfare expenses	-		-
(14)	Finance costs			
	(a) Interest expense on:			
	Borrowings - Car Loans			

	(b) Other Borrowings costs			
	- Interest on delayed payment of Service tax			
	- Interest on Credit Card		-	
(15)	Other expenses		-	
	Repairs and maintenance - Buildings			
	Repairs and maintenance - Machinery			
	Repairs and maintenance - Others *			
	Advertisement Expenses			
	Business promotion *			
	Car Hire Charges			
	Communication *			
	Contractual Service Charges			
	Donations and contributions			
	Electricity Charges			
	Insurance			
	Legal and professional *			
	Motor Car Expenses			
	Office Renovation Charges			
	Office Rent			
	Payments to auditors			
	As auditors - statutory audit			
	For taxation matters			
	For company law matters		-	
	Printing and stationery*			
	Rates and taxes - Profession Tax			
	Travelling and conveyance *			
	Miscellaneous expenses *			
	Bank Charges			
	Entertainment Expenses			
	Filing Fees			
	Internet Charges			
	Postage & Courier Charges			
	Software Charges			
	Subscription			
	Sundry Expenses		-	
(16)	Extraordinary items		-	
	Preliminary Expenses W/off			
	Website Development Expenses W/off		(	
			-	
(17)	Contingent Liability and commitments			
	(a) Contingent Liabilities			
	(b) commitments		-	
	Capital Commitments for purchase of office premises			
(18)	Additional Information			
	Expenditure in Foreign Currency		-	
	Earnings in Foreign Exchange			
	Since Company is engaged in Consultancy work information on value of import and consumption of Raw Material, stores and spares are not applicable to the Company.			
(19)	Previous year figures have been regrouped wherever considered necessary so as to conform to the classification of the current year.			

(20)	SIGNIFICANT ACCOUNTING POLICIES				
(a)	SYSTEM OF ACCOUNTING				
	Company follows mercantile system of accounting, i.e. Principle of Accrual				
(b)	DEPRECIATION				
	Depreciation has been provided based on Written Down Value Basis at the rates prescribed under the Income Tax Act, 1961.				
(c)	REVENUE RECOGNITION				
	Revenues from Consultancy Contracts priced on basis of time and size of Project, are recognized when Services are rendered recognized over the life of contracts using the proportionate completion method with contract costs determining the degree of completion. Foreseeable losses on such contracts are recognized when probable.				
(d)	FIXED ASSETS				
	Fixed assets are stated at historical cost based on concept of going concern				
(e)	CURRENT ASSETS				
	All the current assets, Loans & advances are stated approximately at the values, if realised in normal course of profession.				

Subject to our Report of even date

CHARTERED ACCOUNTANT

Place: Mumbai

Date:

WISE LIMITED**NOTES FORMING PART OF THE FINANCIAL STATEMENTS****(7) TANGIBLE ASSETS [with reconciliation of balances at the beginning and end of the year]**

ASSET CLASSIFICATION	GROSS BLOCK (GROSS CARRYING VALUES)			DEPRECIATION (IMPAIRMENT LOSS)			NET BLOCK (NET CARRYING VALUES)	
	01-04-2011	ADDITION	31-03-2012	01-04-2011	ADDITION	31-03-2012	31-03-2012	PREV. YEAR
a) Land			-			-	-	-
b) Building			-			-	-	-
c) Plant & Equipment			-			-	-	-
d) Furniture & Fixtures			-			-	-	-
e) Vehicles			-			-	-	-
f) Office Equipments			-			-	-	-
TOTAL	-	-	-	-	-	-	-	-

Contingent Liabilities:

A contingent liability is a liability which may or may not occur on the date of the Balance Sheet it is definitely not a liability. All contingent liabilities known to the company on the date of the Balance Sheet have to be disclosed in the Balance Sheet. The amount of contingent liabilities is not included in the figures of the Balance Sheet but it is indicated as a footnote to the Balance Sheet.

Examples:

- (1) Bills discounted but not matured.
- (2) Guarantees on behalf of other companies or individuals.
- (3) Arrears of dividend on cumulative preference shares.
- (4) Investments in partly paid shares.
- (5) Claims made against the company not acknowledged as debts.
- (6) Legal matters pending in court.
- (7) Disputed liability of Income tax, and other taxes.
- (8) Estimated amount of unexecuted contracts.
- (9) Guarantees given to banks, etc. in respect of third parties.

It is the duty of the statutory auditor to verify that all known contingent liabilities have been properly disclosed.

Wasting Assets:

Certain Fixed assets depreciate due to extraction of materials from it.

Examples:

- (i) Mines. (ii) Quarries. (iii) Forests. (iv) Oil Fields, etc.

A mine will not depreciate till all the minerals are not extracted from it. The value of the quarry will not change if the stores is not taken out from it.

The value of an oil field will not change if the oil is not taken out from it.

The asset wastes due to the extraction of material from it. The depreciation of such wasting assets depends upon the quantum of minerals extracted from it. Such assets are known as "wasting assets".

Fictitious Assets:

Such assets are not really assets but from an accounting point of view they are shown on the assets side of the Balance Sheet. The reason being is that the expenditure incurred could not be entirely charged to the profit and loss account of the year in which they are incurred.

Examples:

- (1) Deferred revenue expenditure.
- (2) Heavy market research expenses, advertisement and publicity expenditure for launching a new product.
- (3) Share or debenture issue expenses such as flotation cost, underwriters commission, brokerage, etc.
- (4) Discount on issue of shares or debentures.
- (5) Preliminary and pre-operative expenses.

Marketable Securities:

Marketable securities are short term investment instruments to obtain a return on temporarily idle funds. They are securities which can be converted into cash in a short period of time.

Once the optimum level of cash balance of a firm has been determined the residual of its liquid assets is invested in marketable securities.

The basic characteristics of marketable securities affect the degree of their marketability/liquidity. To be liquid, a security must have two basic characteristics (a) a ready market and (b) safety of principal amount invested.

Types of Financial Statement Analysis: *

- (1) **Internal Analysis:** An internal analysis is done by insiders of the firm who have access to all the financial information. E.g. Analysis done by the top management, finance manager, employees, etc. can be termed as internal analysis.
- (2) **External Analysis:** External analysis is an analysis done by outsiders to the business firm. Such parties have access to limited financial information which are published or revealed to the analysts by the firm.
- (3) **Horizontal Analysis:** In case of horizontal analysis the financial statements are analysed horizontally. Examples of horizontal analysis are comparative statement analysis and trend statement analysis. In the case of a horizontal analysis the same item is compared of one year with the preceding year / following years. In this case more than one year's/company's financial statements are essential.
- (4) **Vertical Analysis:** In case of vertical analysis only one year's financial statement is required. The analysis is done vertically in this case. A particular item, i.e. net sales in income statement and in Balance Sheet total capital available/employed, is compared with all other items.
- (5) **Dynamic Analysis:** In case of dynamic analysis more than one year's financial data is essential. Examples of dynamic analysis are ratios calculated for more than one year, comparative statement analysis, trend analysis, etc. Such an analysis has broader scope since it facilitates comparison over a period of time i.e. year-to-year comparison.
- (6) **Static Analysis:** In case of static analysis only one year's financial data is utilized. It has limited scope since year-to-year comparison

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- (6) **Static Analysis:** In case of static analysis only one year's financial data is utilized. It has limited scope since year-to-year comparison

Horizontal Financial Statements	Vertical Financial Statements
(1) Horizontal financial statements are also termed as financial statements presented in a "T" form.	(1) Vertical financial statements presented in a vertical form: Top Down style.
(2) Traditionally all the financial statements were presented in the horizontal form.	(2) Vertical presentation of financial statements have been in existence since past 2 to 3 decades only.
(3) In a horizontal presentation of accounts - Manufacturing account, Trading account, profit and Loss account and profit and loss appropriation accounts are prepared alongwith the Balance Sheet.	(3) In vertical presentation of accounts there is only the Income Statement and Balance Sheet that is prepared.

(4) Horizontal Financial statements follows the ledger account style of presentation of the accounting information with the Left Hand side - indicating the expenses in profit and loss account and liabilities in a Balance Sheet and in the Right Hand side - is indicated the incomes in a profit and loss account and assets in the Balance Sheet.	(4) In a vertical form of presenting the accounting information it is in a statement form. In the income statement sales is indicated at the top and less all expenses the bottomline is the profit / loss and in a Vertical Balance Sheet Source of funds is indicated at the top and Application of Funds follows it.
(5) Accounting information presented in a conventional horizontal form is very difficult for inter-firm and intra - firm analysis purpose.	(5) Vertical Financial Statements helps in easy inter - firm and intra - firm analysis.
(6) Traditionally 2 to 3 decades back accounting information was presented in a horizontal form but with the passage of time this style has lost its importance.	(6) Vertical financial statements is very popular in the present days and all companies annual reports uses this style only for reporting its annual accounts.
(7) Horizontal financial statements are very difficult to understand as well as to prepare it.	(7) Vertical financial statements is very easy even for a layman to understand it.

Distinction between: Own Funds and Owed Funds:

Own Funds	Owed Funds
Own Funds is also termed as owners funds, Shareholders funds, Net Worth, Shareholders Equity and Proprietary Funds.	(1) Owed Funds is also termed as Borrowed Funds or Debt funds.
Owened Funds is contributed by the owners or proprietors in the business.	(2) Owed funds is the borrowing raised by the firm from external sources.
Investors in the owned funds are the owners in the firm.	(3) The providers of owed funds are the creditors of the company.
Owened funds are available for long term time frame.	(4) Owed funds may be for short term or long term time period.
Owened funds is a perpetual funds available forever with the firm and there is no contractual obligation to repay it back or pay a fixed annual contractual returns on it.	(5) Owed funds needs to be serviced as per the contractual agreement i.e. loan instalments and interests need to be paid periodically.
Returns on owned funds is paid from profit after tax and it is termed as dividend.	(6) Returns on owed funds is paid from profit before tax and it is termed as interest.
The cost of owned funds is high since dividend is not a tax - deductible item.	(7) The cost of owed funds is lower to the firm since interest paid is a tax - deductible expenses.

Parties interested in Financial Statements:

- (1) **Shareholders:** They are interested in the EPS and dividend payment.
- (2) **Debentureholders:** They are interested in receipt of regular interest and repayment of their invested funds on the due date.
- (3) **Banks / Financial Institutions:** They are interested in debt servicing i.e. periodic repayment of loan instalments on time.
- (4) **Suppliers / Creditors:** They are interested in the short term solvency of the firm and the recovery of their dues.
- (5) **Government agencies:** They are interested in recovery of the tax, provident fund, professional tax and other statutory dues on time.
- (6) **Competitors:** They are interested in inter - firm cost comparisons.
- (7) **Top management:** They are interested in assessing the profitability due to their efficient management.
- (8) **Chambers of Commerce and Industry:** Chambers of Commerce and industry is interested in measuring its members performance as well as to set uniform prices for their products.
- (9) **Financial Institutions:** They are interested in the firm's financial health.

cannot be done. Examples of static analysis are ratios calculated of only one year, common size analysis, etc.

- (7) **Long Term Analysis:** In this case the long term solvency, stability and profitability positions are judged. It is helpful for long term providers of funds. It judges the company's position over a period of time and not just for one year or less than that.
- (8) **Short term Analysis:** It is helpful for short term providers of funds. Short term funds are current liabilities. Mainly trade creditors and banks in order to provide Bank overdraft and short term loans use short term analysis. It is mainly concerned with analysing the short term solvency and liquidity positions. It is mainly concerned with analysis of the firms working capital management.
- (9) **Intra - Firm Analysis:** Intra Firm analysis is used for comparing the financial performance of the same business firm over a period of time. Past years performance is compared with the current years performance which indicates that in which direction the business firm is moving. For inter firm analysis techniques like ratio analysis, common size analysis, comparative analysis and trend analysis are used.
- (10) **Inter - Firm Analysis:** Inter-firm analysis is used to compare the financial figures of two firms from the same industry for the same period. It helps to know which firm is having a comparatively better performance. Techniques like ratio analysis, common size analysis and comparative analysis are used for inter-firm analysis.
- (11) **Standard Analysis:** Standards are set in advance against which the actual performance is measured and inferences are drawn.

Distinction between: Horizontal Financial Statements and Vertical Financial Statements:

Horizontal Financial Statements	Vertical Financial Statements
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(3) In a horizontal presentation of accounts - Manufacturing account, Trading account, profit and Loss account and profit and loss appropriation accounts are prepared alongwith the Balance Sheet.	(3) In vertical presentation of accounts there is only the Income Statement and Balance Sheet that is prepared.



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Non-Cash Expenses:

All expenses are debited to the profit and loss account. It can also be termed that all expenses are deducted from the sales in order to determine the net results of the operations, that is profit or loss. But it is to be noted that all expenses are not paid in cash. There are certain items of expenses which are non-cash expenses and they are actually not paid in cash. Accounting of such expenses does not result in cash outflows from the firm.

Examples:

- (1) Goodwill written off.
- (2) Depreciation of fixed assets.
- (3) Preliminary expenses written off.
- (4) Share issue expenses written off.
- (5) Patents written off.
- (6) Discount on issue of securities written off, etc.

Examples of the costs indicated above does not result in actual cash outflows and it does not have any effect on the cash / Bank account of the company. Also discount allowed to customers (Only Cash discount since trade discount is not recorded in the books of accounts) and bad debts written off are other examples of non-cash items of expenses.

On the contrary a cash expense is an expense which results in actual cash outflows such as payment of rent, salaries, electricity charges, etc.

Amortisation:

The term depreciation is used widely to indicate the spreading of the cost of a tangible asset (except land) like machinery, building, furniture, equipments, etc. over its economic life span. Whereas the term amortisation is used in case of writing down of intangible assets which have no physical existence such as Goodwill, Patents, Trade marks, copy rights, etc. The term amortisation is also used in case of writing down of fictitious assets such as securities issue expenses, discount and / or commission on issue of securities, preliminary expenses, etc. Fictitious assets are not at all assets but from an accounting point of view it is indicated in the Assets side in a Balance Sheet. Both the term amortisation and depreciation relates to one and the same thing.

Depreciation:

With the passage of time, all fixed assets, with the exception of land, lose their capacity to provide services. Accordingly the cost of such fixed assets such as furniture, building, machinery, equipments, etc. must be transferred to the related expense accounts in a systematic manner during their expected economic life time. This periodic cost expiration is called as depreciation. Depreciation is reduction in the value of the fixed asset (except land) due to wear and tear, usage, lapse of time, obsolescence, and various such other reasons. The process of Spreading the Cost of the asset over its economic life time is termed as depreciation. Depreciation is deducted from the value of the fixed assets from the Balance Sheet – Assets side and debited to the profit and loss account.

Capital Employed:

The equation of capital employed is equal to owners funds plus Borrowed funds.

$$\text{Capital Employed} = \text{Owners Funds} + \text{Borrowed Funds.}$$

Capital employed is the total of the proprietors funds and the long term borrowed funds raised and employed in the business. The returns generated as a result of business operations must be compared with the capital employed in order to know the true earnings ability of the capital employed in the business.

Also,

$$\text{Capital Employed} = \text{Fixed Assets} + \text{Investments} + \text{Working Capital.}$$

This equation indicates that the long term funds raised by the business firm employs it in the fixed assets (net), investments (which are long term in nature) and in the net current assets (working capital) of the firm.

The funds / Capital available is employed as indicated above.

Distinction between: Own Funds and Owed Funds:

Own Funds	Owed Funds
(1) Own Funds is also termed as owners funds, Shareholders funds, Net Worth, Shareholders Equity and Proprietary Funds.	(1) Owed Funds is also termed as Borrowed Funds or Debt funds.
(2) Owned Funds is contributed by the owners or proprietors in the business.	(2) Owed funds is the borrowing raised by the firm from external sources.
(3) Investors in the owned funds are the owners in the firm.	(3) The providers of owed funds are the creditors of the company.
(4) Owned funds are available for long term time frame.	(4) Owed funds may be for short term or long term time period.
(5) Owned funds is a perpetual funds available forever with the firm and there is no contractual obligation to repay it back or pay a fixed annual contractual returns on it.	(5) Owed funds needs to be serviced as per the contractual agreement i.e. loan instalments and interests need to be paid periodically.
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Parties interested in Financial Statements:

- (1) **Shareholders:** They are interested in the EPS and dividend payment.
- (2) **Debentureholders:** They are interested in receipt of regular interest and repayment of their invested funds on the due date.
- (3) **Banks / Financial Institutions:** They are interested in debt servicing i.e. periodic repayment of loan instalments on time.
- (4) **Suppliers / Creditors:** They are interested in the short term solvency of the firm and the recovery of their dues.
- (5) **Government agencies:** They are interested in recovery of the tax, provident fund, professional tax and other statutory dues on time.
- (6) **Competitors:** They are interested in inter – firm cost comparisons.
- (7) **Top management:** They are interested in assessing the profitability due to their efficient management.
- (8) **Chambers of Commerce and Industry:** Chambers of Commerce and industry is interested in measuring its members performance as well as to set uniform prices for their products.
- (9) **Finance Manager:** The finance manager is interested in the financial statements in order to know that due to his management of the

finance how much is the improvement in the bottom line of the company.

- (10) **Investors:** Investors take investment decisions whether to sell or hold on to the securities as well as it is useful to the prospective investors to take decisions regarding purchase of securities.

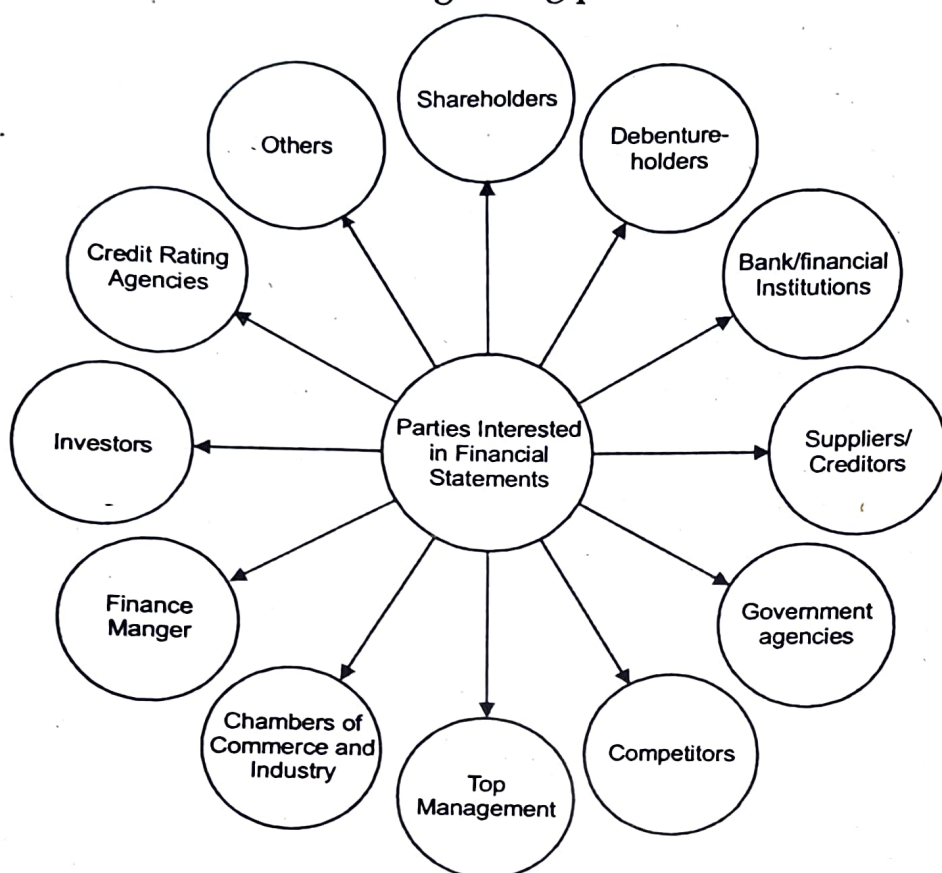


Fig. 1.1: Parties Interested in Financial Statements.

Accounting Concepts, Conventions and Principles:

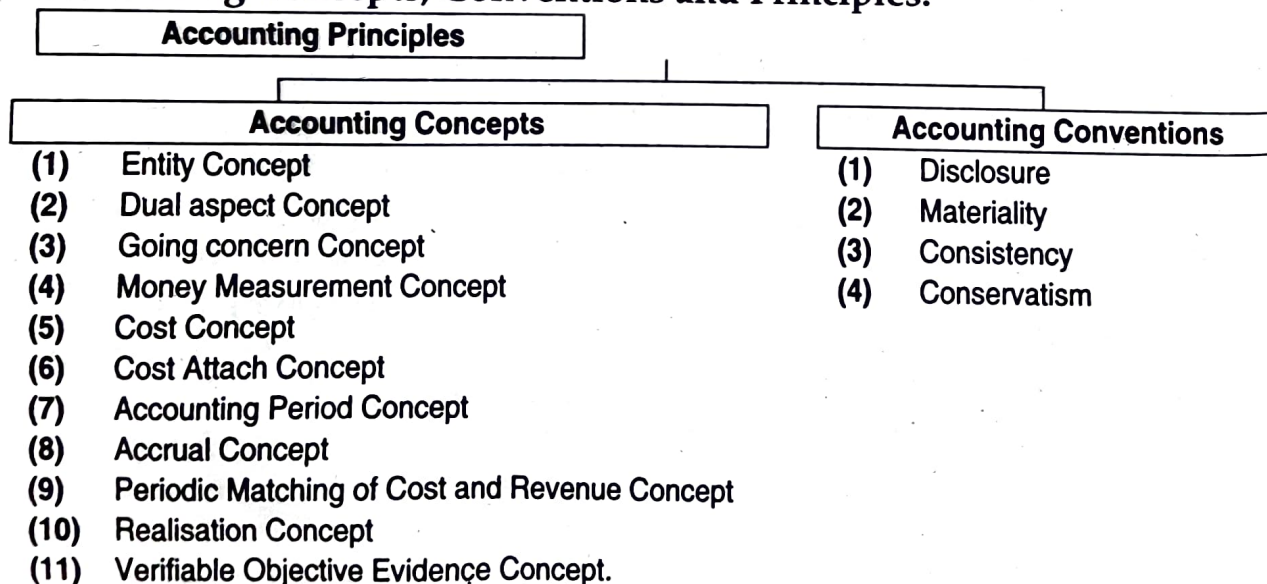


Fig. 1.2: Accounting Concepts, Conventions and Principles

Accounting Principles:

"Accounting Principle is a general rule adopted or professed as a guide to action: a settled ground or basis of conduct or practice."

American Institute of Certified Public Accountants

Accounting principles are the rules of conduct and action described by various terms such as concepts, conventions, doctrines, tenets, axioms, assumptions, postulates, etc.

Accounting Concepts:

Accounting concepts are the necessary assumptions or conditions upon which accounting is based.

- (1) **Business Entity Concept:** The moment a business enterprise is started at attains a separate entity distinct from its owners.
- (2) **Dual Aspect Concept:** Every business transaction has a dual effect, a debit and a corresponding credit of the same amount.
- (3) **Going concern Concept:** The business enterprise will continue to operate for a fairly long period of time in future.
- (4) **Money Measurement Concept:** Only those transactions which can be expressed in monetary terms are recorded in accounting.
- (5) **Cost concept:** An asset is ordinarily entered in the accounting records at its Cost price paid to acquire it and such a cost is the basis for all subsequent accounting for the asset. This concept does not recognize the realizable value of the asset.
- (6) **Cost – Attach Concept:** In the process of converting the raw materials to the finished goods alongwith the raw material cost several other processing costs such as labour, power and other overheads are added together in order to obtain the product cost.
- (7) **Accounting Period Concept:** Accounting measures the activities for a specified interval of time called as the accounting period, which is generally a year, in order to close the books of accounts and report to various interested parties.
- (8) **Accrual Concept:** Revenues and expenses for a specific period are identified and it is recorded in a particular accounting year itself. Adjustments are made by way of passing entries for prepaid, outstanding and accrued items of incomes and expenses.
- (9) **Periodic Matching of Cost and Revenue Concept:** This concept is based on the accounting period concept. The technique of periodic matching of costs and revenues is done in order to measure the profits. According to this concept the revenues of a period are matched against the costs for the same period in order to ascertain the profits made by the business in a particular period. It is on account of this concept adjustments are made while preparing

financial statements at the year end for outstanding expenses prepaid expenses, accrued incomes, etc.

- (10) **Realisation Concept:** Revenues are usually recognised in the period in which goods are sold or services are rendered to the customers. Sale of the goods is considered when the property in the goods passes on to the buyer and he becomes legally liable to pay for it.
- (11) **Verifiable objective Evidence Concept:** All accounting transactions must be evidenced and supported by objective documents such as vouchers, bills, invoices, agreements and contracts, pass books, cheque books, bank deposit slip book, and other forms of correspondence for making accounting entries and for verification of its accuracy and correctness by the auditors later on.

Accounting Conventions:

Accounting conventions are the customs or traditions which guide the preparation of accounting statements.

- (1) **Convention of full disclosure:** In a joint stock Company there is separation of the ownership and management and this necessitates the full disclosure of accounting information to its owners - shareholders and other interested parties. The practice of reporting items such as contingent liabilities and market value of the investments which do not find place in financial statements is according to this convention.
- (2) **Convention of Materiality:** Accountants should attach importance to material details and ignore insignificant ones and the question as to what is a material detail and what is not is left to the discretion of an individual accountant.

Examples of Material financial information: fall in the value of stock, change in the demand pattern due to change in the government policies, loss of markets due to competition, etc.

Examples of Insignificant financial information: Ignoring of paise while preparing financial statements, rounding off of taxable income to the nearest ten rupees for tax purposes, etc.

- (3) **Convention of Consistency:** Accounting procedures, practices and methods should remain unchanged from one accounting period to another. This enables easy comparison of performance in one accounting period with the other. Examples: Method of depreciation, inventory valuation, etc. However consistency does not mean inflexibility. To that extent adequate disclosures must be made in the financial statements.

- (4) **Convention of Conservatism:** Convention of conservatism aims to adopt the policy of playing safe. Accountants must follow the rule of – “Anticipate no profits, but provide for all possible losses” While recording business transactions. It is on account of this convention that inventories are valued at lower of the cost price or market price. All possible losses have to be provided but profits are not to be booked unless it is actually realised.

Advantages of Vertical form of Presenting Financial Statements:

- (1) Vertical form of presenting of the accounting information is suitable for inter – firm, intra – firm, Comparative, common size and trend analysis.
- (2) Vertical form of presenting of the financial statements is easily understandable even for a layman with no accounting background.
- (3) In a vertical income statements sales are indicated at the top and from it all the expenses are deducted in order to derive the bottom line i.e. the resulting profit / loss.
- (4) In a Vertical Balance Sheet the sources from where funds are arranged and the application of such funds in various components of the assets is indicated.
- (5) In vertical financial statements working capital i.e. the difference between the current assets and current liabilities is indicated which is not possible in a horizontal statement.
- (6) In a vertical financial statement items of all fictitious assets such as debit balance in the profit and loss account, preliminary expenses, etc. is adjusted against the shareholders funds in order to derive the net worth.
- (7) In a vertical Balance Sheet the total funds generated from the owners as well as from borrowed funds is indicated separately.
- (8) In a vertical income statement the operating profit and the net profit is indicated separately which helps to know the net results of the operating activities of the business separately.
- (9) In a vertical income statement all expenses are grouped under different categories such as cost of goods sold, administration expenses, selling and distribution expenses, finance expenses and non-operating expenses, which becomes easy for analysis purposes.
- (10) Vertical financial statement is popularly used now-a-days for reporting its financial results in its annual reports.